



Embedded Finance & Innovation in Commercial Payments

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Chapters



**Introduction to
Embedded Finance**

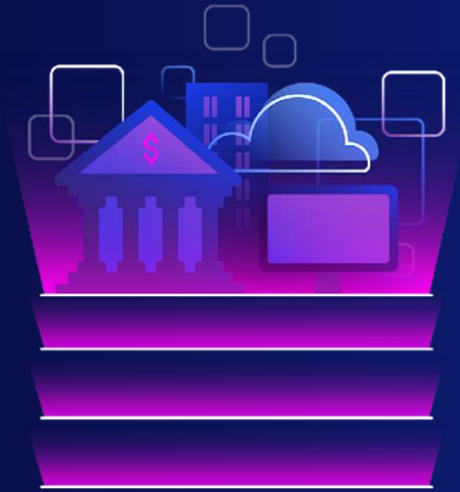


**Use Cases for consumers and
businesses**



**Visa's perspectives on the
development of Embedded
Finance**

Chapters



**Introduction to
Embedded Finance**



Embedded Finance

The new era of ushering seamless experiences

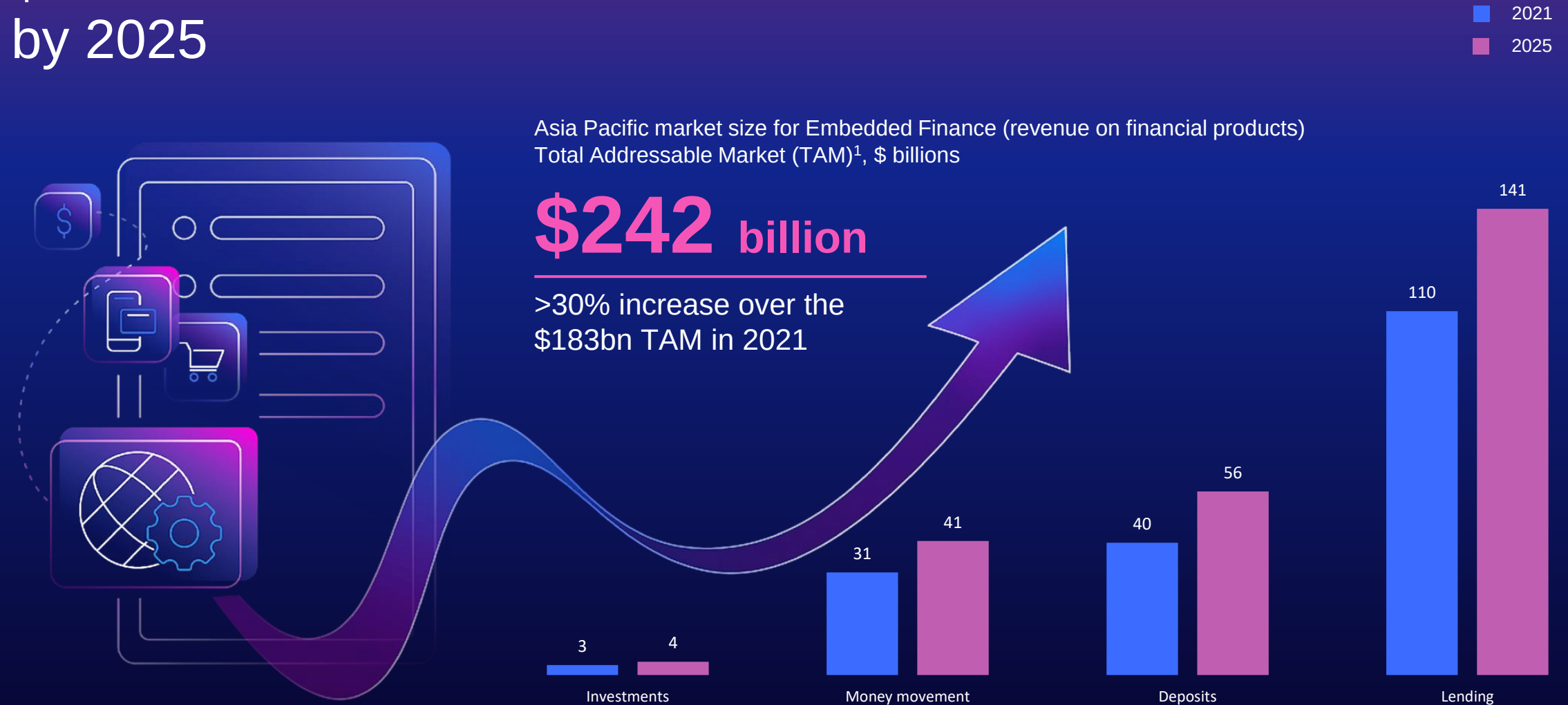
New paradigm shift in
customer experience

A permanent shift that is
here to stay

Businesses and sellers
need to get ready for a
radical transformation

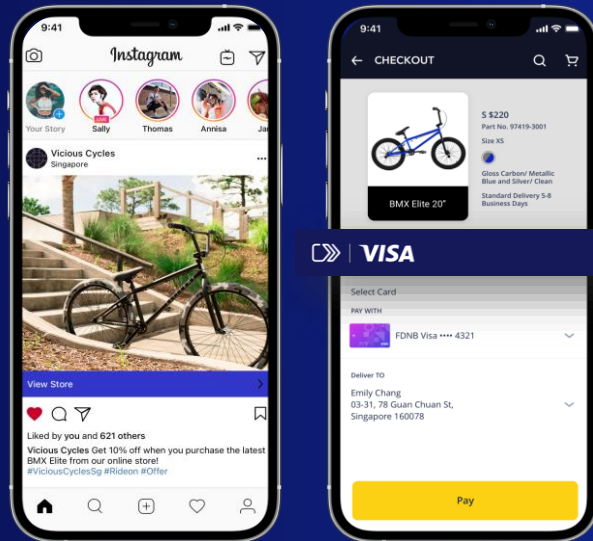


Embedded Finance has the potential to unlock \$240+ billion addressable market in Asia Pacific by 2025



Embedded Finance
is the integration of
financial services
into
the everyday digital
experiences of
consumers

Embedded Payment One-click experiences

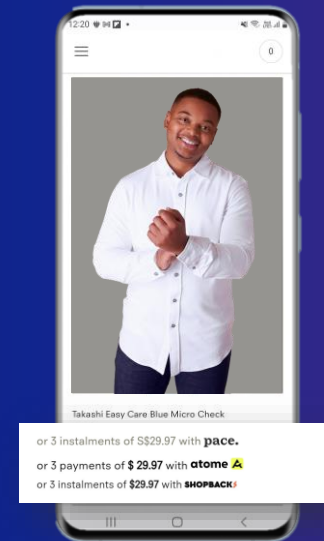


Facilitated by...



Enablers and Distributors
Embed financial services onto
consumer-facing platforms at the
right step in the journey

Embedded Lending Personalised credit lines

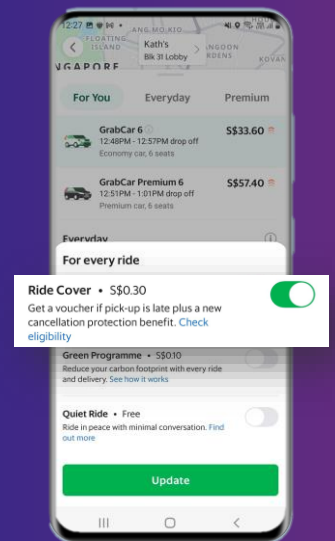


Better experience for...



Individuals and Businesses
Customers enjoy improved
experiences and greater access
to financial services

Embedded Insurance On-demand coverage



A range of distributors and enablers are actively driving Embedded Finance

Non-bank distribution channel

Independent Software Vendor*
Independent software vendors that enable workflows for businesses (horizontal and vertical)

Horizontal

Full Site ERP



Accounting



Payroll



Vertical

Retail



Healthcare



Construction



Restaurants



Real Estate



Logistics



Superapp / Platform / Market*

Superapp



Meituan



Grab

eCommerce



Lazada



Shopee

On-demand service/travel



traveloka



Urban Company

Enablers

Solution Provider*
Technology tools and platforms that enable specific workflows

Focused provider

Payments



stripe



cybersource
A Visa Solution

Insurance



CHUBB

Lending



redivo
Buy now, Pay later

Wealth Management



additiv

Issuing



MARQETA

Compliance



Middesk

Open Banking Provider Technology
Technology provider that enable the exchange of data (C2B & B2B)

Full stack provider



weavr



BOND



tink



BASIQ



Brankas



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Embedded Finance

Use cases



END USERS

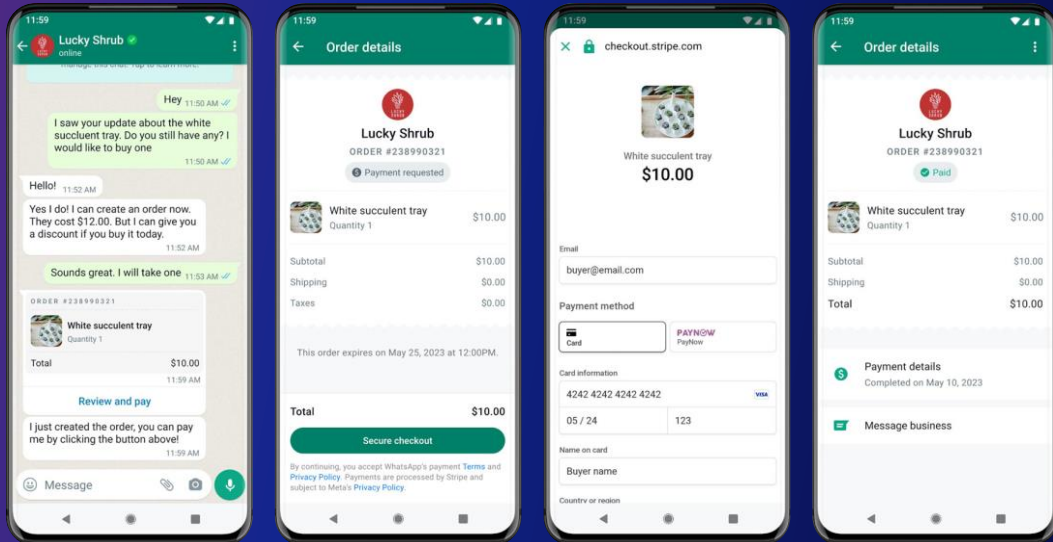


DISTRIBUTION
CHANNELS



ENABLERS

Embedded Payments – Customers can expedite their checkout process by clicking on an embedded link to finish the transaction



Sellers can create an order directly within their chats in the WhatsApp platform where buyers can immediately make payment to complete their purchases via their preferred method



stripe

PAYMENT NETWORKS
E.G. – VISA AND
ISSUERS

PRODUCT

Payment for purchases done within WhatsApp

END USERS

Users of the WhatsApp messaging platform

DISTRIBUTION CHANNEL

Sellers/ merchants in WhatsApp can generate a payment link and include it in a WhatsApp message to the buyer

The buyer then completes payment for their purchase directly without leaving the platform, cutting out typical lengthy checkout processes

ENABLER

Supported by Stripe, users of WhatsApp in Singapore can make payments within the app and check on the status

The in-app payment feature is built on Stripe Connect and Stripe Checkout, which enables customers and businesses to buy and sell directly in WhatsApp without having to go to a website, open another app, or pay in person

PROVIDERS

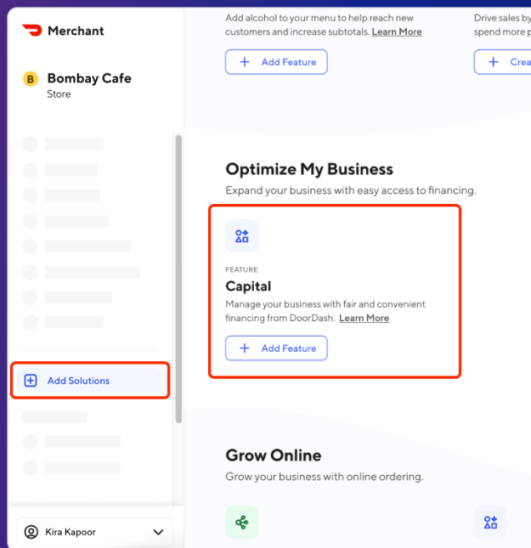
Banks issue debit, credit, and prepaid cards to customers which can be used to make payments for transactions

Payment networks like Visa have already built the technical infrastructure for peer-to-peer payments and provide industry-standard security practices

VISA

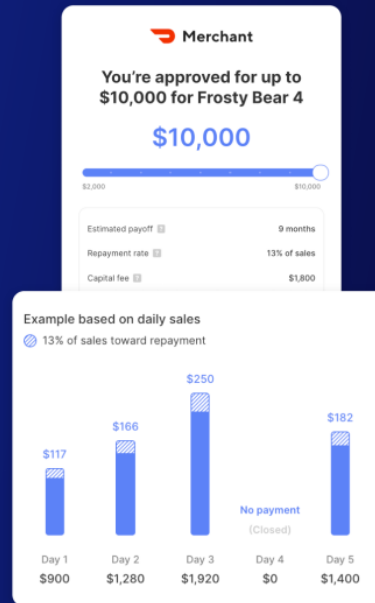
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Embedded Lending – Customers can get access to the capital they need right from the platforms they have come to know and trust



1

DoorDash merchants can access instant financing from the Merchant Portal



2

Repayment of the loan is based on a cut of DoorDash sales



PRODUCT

Lending facility integrated in the DoorDash portal

END USERS

Merchants that are registered with DoorDash

DISTRIBUTION CHANNEL

Eligible merchants get access to a pre-approved borrowing limit within the DoorDash Merchant Portal

Repayment will be automatically deducted from merchant payout based on percentage of DoorDash sales

ENABLER

Using easy to integrate SDKs and APIs, Parafin can provide their partners with a fully Embedded Lending experience

Merchants can get instant access for financing at ideal rates with dynamically adjusted approvals

PROVIDERS

Parafin is a B2B Fintech that provides a turnkey solution to offer Embedded Lending to merchants

Parafin provides the capital to lend DoorDash between \$5,000 to >\$15,000, which they can use for working capital, operational expenses, or capital expenses

Parafin takes on all the financial and compliance risks



Forging new partnerships

Visa partners with distributors and enablers across verticals and customer segments

- Access for 25,000 existing SAP customers
- \$13T in AP payment flows
- Fully integrated into SAP Platform



Partnership with a global enterprise business application platform

Benefits to providers of the value chain

- New opportunity segment
- Streamlined payment processes
- Improved cashflow access
- Improved operational workflows
- Increased data collaboration for underwriting decisioning

Payments to Visa card-accepting and non-card accepting suppliers initiated directly from business application platform

Role in value chain: Distributor

Embedded Finance Verticals

Embedded Payments

Embedded Issuance

Visa Capabilities



Visa Business Debit / Credit



Virtual Card Issuance



Visa B2B Integrated Payment Solution



Business Payment Service Provider (BPSP)

Corporates



US

Chapters



Visa's perspectives on the
development of Embedded
Finance

Visa's perspectives on how Embedded Finance will develop in the future

- 1 Embedded Finance will accelerate, driven by evolving user expectations, regulatory reforms and commercial upsides for banks and merchants
- 2 Lending, deposits, and payments will emerge as top use cases, with a shift in economics expected across the value chain
- 3 Financial institutions will need to adapt rapidly by redefining their go-to-market strategy, being API-ready and identifying target partnerships
- 4 Enablers will offer many-to-many networks, becoming the one-stop shop for both merchants and banks

- 5 Horizontal SaaS and platform players will help accelerate distribution across industry verticals



Visa's data-driven capabilities facilitate value exchange and collaboration in Embedded Finance



Artificial Intelligence (AI) models

Our AI models help with targeted customer acquisition, upsell of services and personalisation of solutions across multiple use cases such as payments, issuance and lending



Data Governance

Visa is part of global industry consortium - MIT Future of Data Initiative, with a focus on data traceability. We are continuously working with industry leaders to inspire customer trust and enhance data accountability



Data Collaboration platform

We can deliver unique insights for all parties by facilitating data collaboration through our machine learning data sharing platform

Even as Embedded Finance offers many upsides for financial institutions, there are **drawbacks and new responsibilities** that will need to be factored

1



Loss of customer primacy

Providers will move from an absolute end user relationship to a shared ownership model with distributors

2



Shift in unit economics, margin compression

Both enablers and distributors bring their own distinctive value-add to the Embedded Finance offering, and will get a share of the transaction

3



Regulatory and privacy requirements

Responsibility for compliance with regulatory requirements and privacy laws will need to be clearly allocated between providers and distributors based on customer relationships

4



Drop in brand saliency and differentiation

Financial brands become less prominent as they increasingly assume back-end roles in the market as customer-facing interfaces are conducted via the distributors

5



Incremental investments and costs

Infrastructure costs will increase particularly with data warehousing, open banking software, APIs, and other costs related to customised products and servicing



Thank You